KAPPA FOUNDATION | INITIAL DECISION RECORD

Initial decision: 31 December 2022 | Submission deadline: 22 October 2026

Mandate and 2030 objective

- Invest USD 12,000,000; first meet the two irrevocable programme payments.
- 2024: USD 2,400,000; 2027: USD 3,600,000.
- Then pursue USD 8,000,000 in December-2022 purchasing power by 2030.
- Planning inflation 2.50% annually; nominal target USD 9,747,223.18 = real target x (1 + inflation)^8; not guaranteed.

Information set and investable universe

- Historical cutoff: 2022-12-31; estimation sample Jan-2015 to Dec-2022, 95 common monthly observations from Feb-2015 to Dec-2022.
- 10 U.S. common stocks across 7 sectors: AAPL, MSFT, JPM, JNJ, PG, HD, CAT, CVX, KO, WMT.
- Two distinct U.S. equity ETFs: SPY (broad large-cap) and IWM (small-cap); SPY is also the simple investable benchmark.
- Eligibility at the decision date is supported by the dated evidence in Table_D2; post-cutoff data are excluded from the initial policy.

Liability funding and investable growth budget

- 2024 scholarship: buy Beta 2-year zero-coupon; cost USD 2,214,672.00 to meet the USD 2,400,000 maturity payment.
- 2027 learning centre: buy Delta 5-year coupon bond; cost USD 3,021,150.64; ring-fence interim coupons at 0% base reinvestment to meet USD 3,600,000.
- Reserve total USD 5,235,822.64; growth budget before trading costs USD 6,764,177.36; growth purchases USD 6,757,419.94 after initial costs.

Growth-policy choice and material assumptions

- Recommend Utility_SingleIndex: constrained long-only mean-variance utility, CAPM-style expected returns, single-index covariance; A=4.
- Credible rejected alternative: Eta_Historical_MaxSharpe; under a common A=4 lens its utility is 0.0487, below 0.0570 for the recommendation.
- Expected-return/risk comparison for recommended policy: 11.01% / 16.30%; these are estimates, not promises.
- Long-only, fully invested growth sleeve; stock cap 15%; ETF cap 35%; no borrowing, short sales or derivatives; one-way trading cost 0.10%.
- Trustee concern about losses near 15% has no defined horizon or metric; treat it as a diagnostic, not a hard constraint.

Risk-aversion sensitivity | single-index model

A	Exp. return	Volatility	Utility
2	12.48%	18.96%	0.0888
4	11.01%	16.30%	0.0570
6	8.91%	13.35%	0.0356
8	8.01%	12.32%	0.0194

Single-index risk-aversion results.
A=2, 4, 6, 8 are compared under both models; full model and weight comparisons are in Table_P6.

Evaluation and governance rule

- Evaluate the frozen growth policy against frozen SPY from Jan-2023 through Dec-2025; do not refit or re-optimize with evaluation-period data.
- Rebalance annually on 31 December, after any scheduled liability payment, to the original 2022 growth target weights; charge 0.10% one-way on traded notional.
- Review funding coverage, inflation/real-value feasibility, return assumptions, risk tolerance and mandate compliance; document any later policy change separately from this initial decision.

FROZEN INITIAL ALLOCATION

All uses of the USD 12 million initial fund | amounts and weights from the notebook allocation

Growth sleeve target weights are shown as a share of invested growth capital; all-fund weights include liability reserves and implementation cost.

Sleeve	Security / use	USD	% of fund	% growth sleeve	Purpose
2024 liability	Beta	2,214,672.00	18.46%	-	Fund 2024 scholarship payment
2027 liability	Delta	3,021,150.64	25.18%	-	Fund 2027 learning-centre payment
Growth	AAPL	206,871.93	1.72%	3.06%	2030 growth objective
Growth	MSFT	267,236.61	2.23%	3.95%	2030 growth objective
Growth	JPM	443,100.42	3.69%	6.56%	2030 growth objective
Growth	JNJ	363,596.29	3.03%	5.38%	2030 growth objective
Growth	PG	140,738.42	1.17%	2.08%	2030 growth objective
Growth	HD	294,255.15	2.45%	4.35%	2030 growth objective
Growth	CAT	155,144.96	1.29%	2.30%	2030 growth objective
Growth	CVX	202,426.59	1.69%	3.00%	2030 growth objective
Growth	KO	160,319.39	1.34%	2.37%	2030 growth objective
Growth	WMT	236,397.85	1.97%	3.50%	2030 growth objective
Growth	SPY	2,365,096.98	19.71%	35.00%	2030 growth objective
Growth	IWM	1,922,235.33	16.02%	28.45%	2030 growth objective
Implementation	Initial trading cost	6,757.42	0.06%	-	Initial growth-purchase trading cost
TOTAL	**All fund uses**	**12,000,000.00**	**100.00%**	**-**	**Reconciles to initial capital**

Implementation and freeze controls

- The liability reserve is segregated before investing the residual growth sleeve; interim Delta coupons are retained as cash under the 0% base reinvestment assumption.
- Growth target weights, benchmark and the evaluation/rebalancing rule are frozen as of the 31-Dec-2022 information cutoff. Rebalancing maintains those weights; it does not re-optimize the policy.
- This record and its SHA-256 digest are linked to the frozen policy snapshot and the raw input-file fingerprints in Table_I3_Freeze_Audit.csv.